

FirstFT World

FirstFT: Fed officials were open to raising rates further

Also in today's newsletter, Sunak's surprise election and Nvidia's record sales



Markets are pricing in between one and two interest rate cuts from the Federal Reserve by the end of 2024 © Reuters

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Good morning.

Some US Federal Reserve officials signalled they would be prepared to raise interest rates further if inflation became more aggressive, according to a record of their last meeting at the start of this month.

The prospects of a rate rise have fallen since the vote, after fresh inflation data for the previous month came in cooler than expected. The minutes capture the extent of concerns among central bank officials at the persistence of inflation in the world's biggest economy.

“Various participants mentioned a willingness to tighten policy further should risks to inflation materialise in a way that such an action became appropriate,” said the minutes of the May 1 Federal Open Market Committee meeting, published on Wednesday. [Here's more from the minutes published yesterday.](#)

European inflation: German wages rose at the fastest pace for almost a decade, pointing to a pick-up in the wider Eurozone and casting doubt over [how aggressively](#) the European Central Bank will cut interest rates this year.

And here's what else I'm keeping tabs on today:

G7 meeting: Finance ministers and top central bankers from the grouping gather in Stresa, Italy, where they are expected to discuss the use of frozen Russian assets and Chinese exports.

Economic data: S&P Global has flash purchasing managers' indices for the Eurozone, UK, US, France, Germany and Italy, while the EU publishes its flash consumer confidence indicator for the month.

US new home sales: Economists have forecast that sales of new homes in the US decreased in April to an annualised pace of 679,000 units, down from 693,000 in March.

Companies: AJ Bell, Bloomsbury, Ralph Lauren and Nationwide are among those reporting results, while Aviva, Hill & Smith and Rolls-Royce have trading updates. Indivior shareholders meet to vote on moving its primary listing to the US.

Five more top stories

1. The UK prime minister announced yesterday that he would hold a surprise July 4 general election after weeks of agonising, giving his Conservatives just six weeks to campaign with the party trailing opposition Labour party by more than 20 percentage points in the opinion polls. “Now is the time for Britain to choose its future,” Sunak said standing in a rain-lashed Downing Street. [Here’s why he made the move](#), say party officials.

Labour’s reaction: Moments after Sunak’s announcement, Labour leader Sir Keir Starmer vowed to “stop the chaos” and [“return Britain to the service of working people”](#).

The FT View: Whether or not it was Sunak’s intention, [ending the uncertainty and drag](#) are in Britain’s best interest, writes our editorial board.

2. Record sales of artificial intelligence chips sent Nvidia’s revenue soaring 262 per cent in the past quarter, beating lofty expectations. Chief executive Jensen Huang said its blockbuster growth was set to continue this year with the launch of its new Blackwell chips, adding that the company would continue to roll out more powerful chips at the same pace. [Here’s more from the chipmaking giant’s results yesterday](#).

3. Exclusive: The EU is planning to stop Russia from importing western luxury cars via Belarus by tightening sanctions. While the bloc has already imposed several rounds of sanctions on the eastern European country for its support of Moscow’s invasion of Ukraine, the new curbs aim “to minimise the risk of circumvention”, [according to a draft seen by the Financial Times](#).

War in Ukraine: Russian police are offering crime suspects the chance to be cleared of charges ahead of trial if they [agree to serve in the military](#), as the Kremlin seeks to meet manpower needs for the war.

Related: The US has questioned claims by UK defence secretary Grant Shapps that China is providing [“lethal aid”](#) to Russia.

4. Exclusive: Ray Dalio’s family office bought two “shophouses” in Singapore for about \$19mn in 2021, according to people with direct knowledge of the deal. The Bridgewater Associates founder’s Dalio Family Office announced it was moving into the Asian financial hub during the pandemic. [Here’s why billionaires are snapping up the city-state’s heritage properties.](#)

More Singapore: The country’s new prime minister has promised [a “thorough investigation”](#) after a man died and dozens were injured during extreme turbulence on a Singapore Airlines flight from London.

5. Shares in vaccine makers including Moderna and BioNTech rose sharply after new bird flu cases were reported in Australia and the US. Health authorities in the Australian state of Victoria reported the country’s first case of H5N1 infection in humans yesterday, while Michigan state confirmed the US’s third case, [increasing fears of wider transmission.](#)

The Big Read

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Nearly two decades of scientific research has linked the consumption of ultra-processed foods to obesity, cancer and diabetes. Studies show that such products — from snack bars to breakfast cereals — encourage overeating but may leave the eater undernourished. This growing body of evidence presents a concrete threat to the food industry, for which UPFs are extremely profitable. Big Food has hit back with a ferocious campaign in a strategy one expert has called “[deny, denounce and delay](#)”.

We’re also reading...

South Africa: Disenchanted young voters are turning away from the ruling African National Congress ahead of elections they see as a “[pyramid scheme](#)” benefiting only the elite.

US-Kenya ties: President William Ruto will become the first African leader in 16 years to be received in Washington on a state visit today, but his attempt to woo the US [has its limits](#), writes David Pilling.

Builder.ai: Behind the wild ride of one of Britain's hottest tech unicorns is the [tumultuous career of its driving force](#), Sachin Dev Duggal.

Chart of the day

Spain attracted more than 85mn tourists last year, a record number that was nearly double its population as it competed to steal France's title as the world's top tourist destination. But the surge in visitors is [provoking angry outbreaks of "tourism-phobia"](#).

Take a break from the news

Architecture is becoming reduced to gigantic flashing billboards, writes Edwin Heathcote. Once the ultimate art of three dimensions, the medium is taking a new shape. Sphere in Las Vegas, a vast dome of LEDs clad in 54,000 sq m of lights, naturally directs our gaze towards its screen, but, perhaps, [it is watching us as well](#).

A tiger appears to emerge from a shopping mall in Kuala Lumpur © Wong Fok Loy/Alamy

Additional contributions from Benjamin Wilhelm and Tee Zhuo

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